You may wonder why people don't keep all their money in nice, relatively secure money market funds. After all, even if your money won't grow quite as fast in a money fund as it might in some riskier investment, at least it will be growing, right?

Well, maybe not—at least in the way that matters most. After paying taxes due on your earnings from a money fund, you'll probably have a hard time even keeping up with **inflation**—the tendency of prices to increase steadily over the years. If you earn, say, a 5% yield on a taxable money fund one year but are in the 30% tax bracket, you'll be left with only 3.5% at the end of the year. While this doesn't *sound* terrible if inflation is at 3.5%, that means everything you buy costs 3.5% more on average at the end of the year than it did at the beginning. So your investment didn't really get you anywhere.

It's easy to forget about the effects of inflation when you're thinking about long-term investments. To help put things into perspective, take a look at the way inflation has weakened the "purchasing power" of the dollar over the past few decades. Say your parents bought a new car for $3,500 in 1969. If you bought a comparable car today, you'd pay about $25,000. Put another way: $3,500 today buys only about one-seventh of what it could buy back in the late '60s. Amazing.

Inflation has bounced around a lot over the years—it was more than 6%, for example, in 1990, less than 2% in 1998, nearly 5% in 2005, and then plunged to 1% in late 2008—and it's hard to predict where it will be in the future. One thing that seems pretty likely, though, is that inflation will continue to erode the value of the dollar over the next few decades. That's why it's important to earn interest on your money. If you put $20,000 under your mattress and inflation increases at, say, an average of 3% a year, after 30 years, your $20,000 will have reduced in value to the point where it buys only what you can now buy for $8,268. If you'd been earning 3.1% interest on that money, you'd have the equivalent of about $20,608.

The rate of return you receive on an investment (known as the **nominal rate of return**) minus the rate of inflation is called the **real rate of return.** So if an investment is paying 5% and the inflation rate is 3%, your real rate of return is 2%. Take a look at Figure 5–1. It shows the nominal and real rates of return (without considering taxes) associated with various investments between 1926 and 2008. Don't worry for now about the exact definitions of these different securities; I'll explain that later. For now, the